FOUNDATIONS OF FINANCE (ECO 331) – MONSOON 2025
QUIZ 1 (variant A)

Time: 30 minutes **Max. Marks 10**

Name	Roll Number

Instructions to candidates:

- *Write only the correct answer in the space provided at the end of the question paper. The working sheet given to you is for your own calculations.*
- *Return both the question paper and the working sheet after the quiz. Only answers written in the appropriate places will be evaluated.*

1. A personal loan advertisement of a bank says " Take a loan of Rs.100,000 and repay in convenient monthly instalments of Rs.10,000 over the next 12 months". What is the annual interest rate (upto 2 decimal places) that the bank is charging assuming no processing fee or any other charge? The installment has to be paid at the end of the month. ***3 marks***

Extract from PVIFA tables

Rate / period	1%	1.50%	2%	2.50%	3%	3.50%	4%	4.50%
12	11.26	10.91	10.58	10.26	9.95	9.66	9.39	9.12

2. You will retire in 40 years and plan to have a corpus of 100 crores by then. How much should you save annually **(IN LAKHS)** to reach that figure? If the interest rate is 12% p.a and you plan for 30 years after retirement, what annual level of expenditure **(IN CRORES)** will those savings support? Assume all payments are made at the end of the period. ***3 marks***

3. You take a 30-year housing loan of Rs. 5 crores at 12% p.a. What is the end of the month equal monthly installment **(IN LAKHS)** that you will have to pay? ***2 marks***

4. Which of the following statements is CORRECT? (only one) ***1 mark***

a) Corporations generally face fewer regulations than proprietorships.
b) Corporate shareholders are exposed to unlimited liability.
c) It is usually easier to transfer ownership in a corporation than in a partnership.
d) Corporate shareholders are exposed to unlimited liability, but this factor is offset by the tax advantages of incorporation.
e) There is a tax disadvantage to incorporation, and there is no way any corporation can escape this disadvantage, even if it is very small.

5. Which of the following statements is CORRECT? ***1 mark***

a) Because bankruptcy requires that corporate bondholders be paid in full before stockholders receive anything, bondholders generally prefer to see corporate managers invest in high risk/high return projects rather than low risk/low return projects.
b) One advantage of operating a business as a corporation is that stockholders can deduct their pro rata share of the taxes the firm pays, thereby eliminating the double taxation investors would face in a partnership.
c) Since bondholders receive fixed payments, they do not share in the gains if risky projects turn out to be highly successful. However, they do share in the losses if risky projects fail and drive the firm into bankruptcy. Therefore, bondholders generally prefer to see corporate managers invest in low risk/low return projects rather than high risk/high return projects.
d) One drawback of forming a corporation is that you lose the limited liability that you would otherwise receive as a proprietor.
e) Potential conflicts between stockholders and bondholders are increased if a firm's bonds are convertible into its common stock.

Answers

Question 1	Question 2		Question 3	Question 4	Question 5
	LAKHS	CRORES	LAKHS		